STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

---

Case 25-E-0072: Proceeding on Motion of the Commission as to Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service.

Case 25-G-0073: Proceeding on Motion of the Commission as to Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service

---

# REBUTTAL TESTIMONY OF EVIE DAVIS

# ON BEHALF OF NEW YORK POWER AUTHORITY

**June 24, 2025**

## INTRODUCTION AND SUMMARY OF TESTIMONY

**Q. Please state your name and business address.**

**A.** My name is Evie Davis. My business address is 123 Main Street, White Plains, New York 10601.

**Q. By whom are you employed?**

**A.** I am employed by the New York Power Authority ("NYPA").

**Q. Ms. Davis, please provide background regarding the filing of this rebuttal testimony on behalf of NYPA.**

**A.** As indicated in my May 30, 2025 direct testimony, I serve as Senior Director, Revenue and Pricing Analysis in NYPA's Finance Department. My qualifications, professional experience and current responsibilities are described there. My rebuttal testimony today principally concerns the direct testimony offered by the Utility Intervention Unit ("UIU") that would seek to unravel the NYPA service class, which has existed from the outset of NYPA providing electric commodity to New York City and Westchester County governmental customers located in the Consolidated Edison Company of New York, Inc. ("Con Edison" or "Company") service territory, and instead insert those NYPA customers into the existing Con Edison service classes.

**Q. Please summarize your rebuttal testimony.**

**A.** Based on my review of the direct testimony filed by Mr. Dustin M.J. Madsen on behalf of UIU, and by the UIU Rate Panel, I do not believe UIU makes a convincing case to abandon the NYPA service class and put the NYPA customers in the existing Con Edison service classes. First, the level of revenue "deficiency" ascribed to the NYPA class has varied over time, and often has been shown to be negligible. Second, the revised

Embedded Cost of Service Study ("ECOSS") that Con Edison would need to perform for this new rate design to be effectuated would be complex and cannot be done in the context of this rate proceeding, and could produce rate shocks that would be harmful to NYPA and Con Edison customers alike. Third, contractual commitments between Con Edison and NYPA as well as New York State policies concerning NYPA's sale of electricity to New York City ("NYC") and Westchester County governmental customers militate in favor of keeping NYPA customers within their own service class in the context of the Company's electric delivery service.

Last, I testify in support of the New York City Policy Panel proposal regarding the Company's Earning Adjustment Mechanisms ("EAMs"), with particular emphasis in favor of the proposed new Electrification Interconnection EAM.

**Q. Are you sponsoring any additional exhibits?**

**A.** Yes, I am sponsoring Exhibit __ (ED-8), Exhibit __ (ED-9) and Exhibit __ (ED-10), which are excerpts from previous Con Edison ECOSSs. I am also sponsoring a rate comparison (Exhibit__ ED-11), two 1989 agreements between Con Edison and NYPA (Exhibit__ED-12 and Exhibit__ED-14) as well as relevant statutory provisions (Exhibit__ED-13).

## REBUTTAL OF UTILITY INTERVENTION UNIT TESTIMONY

**Q. What are your observations about UIU witness Madsen's direct testimony?**

**A.** First, Mr. Madsen purports to raise neutral cost causation arguments to inveigh against NYPA loads constituting a singular service class for cost allocation purposes, but he seems principally concerned with NYPA having an 8.82% rate of return ("ROR") in the

current version of Con Edison's ECOSS, as compared to the system average ROR of 10.71%.

**Q. Please explain.**

**A.** On pages 83-85 of his testimony, Mr. Madsen states explicitly the implications of his testimony. In noting that NYPA is "well below the system average ROR," moving the NYPA service class customers into the Con Edison service classes would "immediate[ly] correct[] . . . this imbalance" by increasing the rate revenues received from the NYPA customers. (See Madsen Direct Testimony (Corrected Version) at 83:14-85:4; all page references herein to Madsen Direct Testimony are to the corrected version). I further note that Mr. Madsen's testimony is used by the UIU Rate Panel to support their disagreement with the Company's proposal to address one-third of the NYPA service class's $34.8 million deficiency in a single-year rate proceeding, thus urging that the NYPA customers pay a larger rate increase in order to make an "immediate correction" to the so-called imbalance caused by the NYPA deficiency. (See UIU Rate Panel at 23:17-24:9).

**Q. Do you find any flaws to this approach?**

**A.** Yes, because Mr. Madsen appears to assume that the NYPA service class always experiences a dramatically lower ROR and large deficiency. But this is not the case.

**Q. Please explain.**

**A.** In my review of the Con Edison's ECOSSs over the last several rate cases, the claim that the NYPA class is persistently under charged or under contributing, is unsupported. For

instance, before the current filing, in two of the last three electric rate cases, Con Edison's ECOSS showed a negligible NYPA service class deficiency.

First, in 2016 (Case 16-E-0060), the ECOSS showed just a $5.2 million NYPA deficiency based on a 2013 test year. In that ECOSS, the NYPA service class ROR was 5.33%, very close to the total system 6.10% ROR. See Exhibit __ (ED-8) (Con Edison's Table 1A from its ECOSS in Case 16-E-0060). As Exhibit __ (ED-8) shows, this $5.2 million NYPA service class deficiency was far smaller than the $48.8 million deficiency determined for the NYPA and Con Edison service classes combined. The relatively small NYPA deficiency occurred using test year data that was three years old, and numerous parties successfully urged in the settlement of that case that the test year to be used in future Company ECOSSs be no more than two years earlier than the current filing year. Next, in 2019 (Case 19-E-0065), the ECOSS calculated an even smaller deficiency for the NYPA service class – just $349,000 – based on a 2017 test year. (9.2% ROR for NYPA versus 10.24% for total system.) See Exhibit __ (ED-9) (Con Edison's Table 1A from its ECOSS in Case 19-E-0065).

It is true that in the 2022 proceeding (Case 22-E-0064), the NYPA class deficiency grew larger—$18.9 million, or 10.06% ROR for the NYPA class versus 11.81% for total system—but in that case the Company used the three-year old 2019 test year because 2020 was not representative due to COVID. See Exhibit __ (ED-10) (Con Edison's Table 1A from its ECOSS in Case 22-E-0064). The three years out of date test year produced this larger deficiency, but we will never know if, had 2020 been a normal year,

whether using it as the test year would have produced the same level of deficiency for the NYPA service class, or whether it would have been significantly smaller.

**Q. What do you conclude from this survey of the recent Con Edison electric rate case filings?**

**A.** Based on my review of these case filings, it would be premature to conclude that because of the $34.8 million deficiency that the Company determined in the current case that the NYPA service class should be disassembled and NYPA customers inserted into the Con Edison service classes. UIU has not shown that the NYPA service class persistently under contributes to costs, which undermines the necessity of developing a new ECOSS per UIU's testimony. Beyond that, there are numerous practical obstacles to the Company adopting the ECOSS in the manner Mr. Madsen proposes.

**Q. Please explain.**

**A.** As Mr. Madsen concedes (Madsen Direct Testimony at 84:3-7, 87:7-24), a far more detailed ECOSS would need to be developed by the Company to evaluate the results of a changed cost allocation that moves the NYPA customers into the Con Edison service classes and to confirm the results. Based on my understanding of the issue, it would be impossible for the Company to complete such a revised ECOSS for it to be implemented during the proposed rate year, or for the second year of a three-year rate plan, even if settlement negotiations on a multiyear plan were to materialize, due to the complexity, resources, and time required to conduct said study. To accurately assess this revised ECOSS as proposed by Mr. Madsen, the Company would need to redesign rates for the Con Edison service classes to account for the inclusion of the NYPA classes.

Additionally, implementing the requested reclassification of the NYPA customers would likely have significantly undesirable impacts to both the NYPA customers and the Con Edison service classes and could potentially result in a rate shock.

**Q. Can you provide an example of a potential rate shock?**

**A.** Although rates would have to be redesigned to fully understand bill impacts, in an attempt to provide a meaningful example, current NYPA class delivery rates were compared to Con Edison class rates for a hypothetical traction account as well as a hypothetical NYC public building. The billing comparison worksheet included as Exhibit__ (ED-11) demonstrates that traction accounts could see summer bill increases of over 100%, or over a 70% increase in total annual bills (see lines 11 and 15), and a NYC public building account could see summer bill increases of over 29%, or over a 13% increase in total annual bills (see lines 19 and 23), when substituting the existing Con Edison service classes in place of the NYPA service classes.

**Q. Do you have observations about the UIU Rate Panel direct testimony as well?**

**A.** Yes. As I discussed on page 3 above, the UIU Rate Panel adopts Mr. Madsen's testimony to oppose the Company's revenue allocation to the NYPA service class. Not satisfied that the ECOSS proposed by Mr. Madsen has yet to be performed, the UIU Rate Panel proposed an alternative revenue allocation to increase the revenue share assigned to the NYPA class in this proceeding to $193.6 million, a difference of $13.8 million higher than the Company's proposal. UIU argued this was necessary to bring the NYPA "indexed ROR following the RY 1 increase to 0.91, placing the SC (within the lower bound of the 10 percent tolerance band)…". (UIU Rate Panel Direct at 24:21-25:4).

Because the merits of performing a revised ECOSS recommended by Mr. Madsen are underwhelming as discussed above, it would be premature for the Commission to accept UIU's alternative revenue allocation which results in an arbitrary increase to the NYPA revenue allocation. The Company's Electric Rate Panel Testimony sufficiently addresses the ECOSS results while balancing against customer impacts by applying one-third of the deficiency to the revenue increase.

**Q. You also mentioned the contractual commitments between NYPA and Con Edison and New York State policies addressing NYPA's service to the New York City governmental customers. Do these factors have implications for the NYPA service class issue?**

**A.** Yes, I believe they do. Mr. Madsen's push to move the NYPA customers into the Con Edison service classes to effectuate a new rate design runs contrary to the March 1989 Con Edison-NYPA Delivery Service Agreement, and to the State's policy of directing NYPA to provide electric commodity to the NYC governmental customer base to ensure dependable supply and protect against excessive charges. The above-mentioned Delivery Service Agreement between Con Edison and NYPA, upon which Mr. Madsen relies to encourage the Commission to direct a new cost allocation and rate design approach, appears to foreclose the Commission from directing a change in rate design, contrary to how Mr. Madsen characterizes it. As the agreement states, "Con Edison and the Authority agree to accept as a matter of contract that the Commission will determine *whether the rates are excessive or deficient and such rates may take effect on such date as directed or authorized by the Commission subject to review by [the Federal Energy*

*Regulatory Commission or FERC] . . . but this shall not be deemed a recognition by the Authority or Con Edison of the jurisdiction of the Commission over the Authority or over the contract*." Exhibit __ (ED-12) (full copy of 1989 Delivery Service Agreement at page 36 of 41; emphasis added) (See also Madsen Direct Testimony at 82:8-22).

**Q. How should the Commission understand this passage of the Delivery Service Agreement?**

**A.** In my reading of it, because Con Edison and NYPA agreed by contract that the Commission may set the **rates** for delivery service affecting the NYPA customers, but declined to grant the Commission jurisdiction over other matters, the Commission should refrain from intruding on other matters not explicitly identified in the agreement. For this reason, it would be inappropriate for UIU to inject this agreement into this rate case to advance its preferred rate design including the issue of deconstructing the NYPA service class. In fact, having the separate NYPA service class is integral to the services NYPA provides to NYC and Westchester governmental customers.

**Q. Can you elaborate?**

**A.** Yes. Retaining the NYPA service class is consistent with NYPA's status as a provider of utility service in its own right with a special responsibility to serve the governmental customers in New York City and Westchester County, and to do so to address shortages in dependable supply for these customers and protect against excessive costs. See, for example, NYPA's legislative authority to perform these tasks for the Metropolitan Transportation Authority and its subsidiary corporations, the Port Authority of New York and New Jersey, the City of New York, the State of New York and other public

corporations under NY Public Authorities Law §§ 1001 (third unnumbered paragraph), 1001-a ("Emergency provisions for the metropolitan area of the city of New York") and 1005 (third undesignated paragraph). See Exhibit __ (ED-13) (excerpts of NY PAL). Moreover, NYPA's service to its customers is also unique in the context of Con Edison's delivery service. NYPA purchases delivery service on a sale-for-resale basis and PSC No. 12 rates are also filed at and subject to review of FERC, unlike the vast majority of the delivery service that Con Edison provides generally. As a provider of utility services to its customers, it makes sense for NYPA customers to be retained as a singular service class in the Con Edison ECOSS.

Finally, I will note that the March 1989 Delivery Service Agreement between NYPA and Con Edison was entered into simultaneously with the March 1989 Planning and Supply ("P&S") Agreement by the same parties. The P&S agreement (included as Exhibit __ED-14) establishes, among other things, the electric resources that NYPA and Con Edison will deploy for serving their respective customer loads, and addresses the supply needs for the mutual benefit of each party. Taken together, these two 1989 agreements also support keeping NYPA as its own service class.

## SUPPORT FOR NEW YORK CITY POLICY PANEL PROPOSAL

**Q. Please describe the New York City Policy Panel ("NYCPP") proposal regarding Earning Adjustment Mechanisms or EAMs.**

**A.** The NYCPP recommended that, to the extent the Commission considers retaining any shareholder incentives in this proceeding, that the Light-Duty EV EAM and Residential Managed Charging EAM be discontinued. They further expressed support for continuing

the Demand Reduction EAM and proposed a new Electrification Interconnection EAM in lieu of the current Transportation Interconnection EAM. (NYCPP Direct Testimony at 85:4-8).

**Q. What was the NYCPP's rationale for replacing the Transportation Interconnection EAM with the new proposed Electrification Interconnection EAM?**

**A.** The NYCPP argued that there is a significant need for the Company to make improvements to its interconnection process, and the issues apply equally to transportation and building electrification projects. Therefore, they argued that the Company should be subject to a more holistic approach that applies to all electrification projects. (NYCPP Direct Testimony at 91:5-7).

**Q. What did the NYCPP propose for the Electrification Interconnection EAM?**

**A.** They proposed a new shareholder incentive structured to reward Con Edison for making material improvements to the timing of interconnecting EV charging facilities and providing adequate electric service to buildings seeking to electrify. (NYCPP Direct at 92: 12-13). They further proposed that the EAM should be a combination metric, setting minimum thresholds for improvement with negative revenue adjustments for failure to achieve the minimums, as well as positive revenue adjustments for superior performance. (NYCPP Direct at 93:2-6).

**Q. Do you support the proposed change from the Transportation Interconnection EAM to an Electrification Interconnection EAM?**

**A.** Yes, NYPA supports maintaining an Interconnection EAM and expanding it to include electrification more broadly. Interconnection delays have major impacts on projects and NYPA supports measures that will encourage improvements to the existing processes.

**Q. Do you have any recommendations on the proposed Electrification Interconnection EAM?**

**A.** I do not have any specific recommendations on the proposal but want to express overall support for measures that support both transportation and building electrification. Such measures will better enable the State to meet its clean energy goals.

## RECOMMENDATIONS AND CONCLUSIONS

**Q. What are your recommendations?**

**A.** Based on my review of (1) Mr. Madsen's and the UIU Rate Panel's direct testimonies, (2) the Company's ECOSS results presented over the last several electric rate cases, (3) the potential rate impacts from adopting Mr. Madsen's ECOSS approach and (4) the policies effectuated by NYPA's and Con Edison's agreements regarding service to NYC and Westchester governmental customers and the New York Public Authorities Law, the relief sought by UIU to disassemble the NYPA service class and to introduce an alternative revenue allocation should be rejected.

Second, the Commission should adopt the proposals on Transportation Interconnection and Electrification Interconnection EAMs advanced in NYCPP's direct testimony.

**Q. Does this conclude this your testimony?**

**A.** Yes.